APPENDIX [Z]: WACC CONSTRUCTION

The WACC is computed per period: D/E converges linearly from the current structure (20.0%) to the target (28.5%, net debt/EBITDA 3.5x) in 2031. The cost of equity is built in dollars (US Treasury Rf + re-levered beta × ERP + revenue-weighted CRP) and converted to pesos with the inflation differential.

βL = βU × [1 + (1 − t) × D/E] (Hamada)
Ke USD = Rf + βL × ERP + weighted CRP
Ke CLP = (1 + Ke USD) × (1 + π Chile) / (1 + π US) − 1
Kd CLP = (1 + real Kd + spread) × (1 + π Chile) − 1
WACC = E/V × Ke CLP + D/V × Kd CLP × (1 − t)

A. MARKET AND CAPITAL STRUCTURE ASSUMPTIONS

Assumption	Value	Source
Rf: 10Y US Treasury	4.98%	Tasa_WACC (FFCF)
Equity risk premium (ERP)	4.14%	Damodaran
Long-term inflation, Chile	3.00%	Central Bank target
Long-term inflation, US (10Y breakeven)	2.24%	Bloomberg, Jun-26
Chilean tax rate	27.00%	Income Tax Law
Real Kd: latest UF bond coupon	3.60%	Mallplaza
Real Kd increase per turn of net debt/EBITDA	0.25%	Team assumption
Net debt/EBITDA initial (30-Jun-26) → target	2.36x → 3.5x	2Q26 release; team assumption
Gross debt / market cap (current structure, CLP MM)	1,579 / 7,906 (thousands)	Tasa_WACC (FFCF)

B. BETA: UNLEVERED PEERS

Company	Levered β	Debt (CLP MM)	Market cap (CLP MM)	Tax rate	Unlevered β
Parque Arauco	1.250	1,700,507	3,828,031	27%	0.944
Cencosud Shopping	1.075	762,154	3,942,858	27%	0.942
Allos	1.164	960,191	2,712,166	34%	0.944
Iguatemi	0.908	647,397	1,421,560	34%	0.698
IRSA	0.427	625,047	1,218,777	35%	0.320
Multiplan	1.219	191,478	2,959,845	34%	1.169
Median (6 peers included)					**0.9428**

Source: Bloomberg (betas), Tasa_WACC. Costa Verde is excluded because it is not in the comparables set.

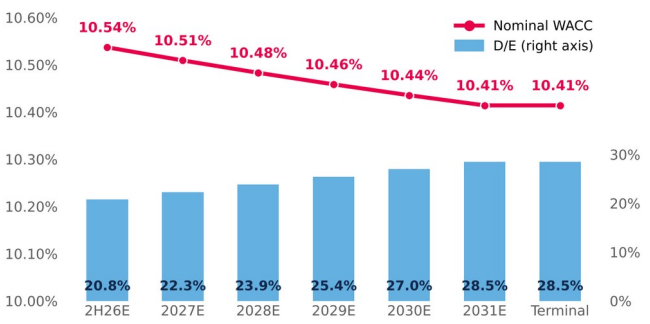
C. REVENUE-WEIGHTED COUNTRY RISK

Country	Weight (LTM revenue)	CRP (Damodaran)	Contribution
Chile	71.8%	1.04%	0.75%
Peru	17.7%	1.55%	0.27%
Colombia	10.5%	3.70%	0.39%
Weighted CRP	**100.0%**		**1.41%**

D. WACC BY PERIOD

	2H26E	2027E	2028E	2029E	2030E	2031E	Terminal
Net debt/EBITDA	2.46x	2.67x	2.88x	3.09x	3.29x	3.50x	3.50x
D/E	20.8%	22.3%	23.9%	25.4%	27.0%	28.5%	28.5%
D/V	17.2%	18.2%	19.3%	20.3%	21.2%	22.2%	22.2%
Re-levered beta	1.086	1.096	1.107	1.118	1.128	1.139	1.139
Ke USD	10.88%	10.93%	10.97%	11.02%	11.06%	11.10%	11.10%
Nominal Ke CLP	11.70%	11.75%	11.79%	11.84%	11.88%	11.93%	11.93%
Real Kd (UF) incl. spread	3.63%	3.68%	3.73%	3.78%	3.83%	3.89%	3.89%
Nominal Kd CLP	6.73%	6.79%	6.84%	6.89%	6.95%	7.00%	7.00%
After-tax Kd	4.92%	4.96%	4.99%	5.03%	5.07%	5.11%	5.11%
Nominal WACC CLP	**10.54%**	**10.51%**	**10.48%**	**10.46%**	**10.44%**	**10.41%**	**10.41%**
Real WACC	7.32%	7.29%	7.26%	7.24%	7.22%	7.20%	7.20%

Figure Z1: Nominal WACC and D/E by period



Control: the replica matches the WACC sheet of model v2 (0 bp difference in every period). Source: Damodaran; Bloomberg; Central Bank of Chile; Team analysis.

E. CHOICE OF THE RISK-FREE RATE

Alternative	Value
Model base: US Rf + Chile CRP, in CLP	6.80%
10Y peso bond, Central Bank (30-Jun-26)	5.43%
Difference	137 bp
Effect on terminal WACC (difference × E/V)	−107 bp
DCF value using the peso bond (CLP)	2,311
80/20 target price in that case (CLP)	**2,439**

Why UST + CRP and not the peso bond: the local bond already embeds Chile risk, so adding the CRP would double-count it; also, 28% of revenue comes from Peru and Colombia, whose risk enters through the weighted CRP.

It is the more conservative choice: with the peso bond the target price rises to ~CLP 2,439, still 31% below the CLP 3,555 share price. The recommendation does not change.

Source: Central Bank of Chile, Informativo Diario 2-Jul-26; DCF v2 replica with the WACC shifted in every period.